

Insurance, Agreements and Protecting Yourself

The six-times miss lives here, and the reason you keep missing it is not about insurance at all.

YOU HAVE MISSED THIS 6 TIMES

Inspectors should carry:

BOTH general liability AND errors and omissions insurance.

Missed on exams 1, 2, 3, 5, 6 and 8. The two policies cover two different risks and neither replaces the other. General liability covers physical damage and injury — you put a foot through a ceiling, or a client trips over your ladder. Errors and omissions, also called professional liability, covers professional mistakes — you missed something you should have found. Two different accidents, two different policies.

This is not really an insurance question

It is a question about whether the options compete or accumulate. Competing options mean pick one. Cumulative options — separate risks, separate duties, separate members of one category — mean "both" or "all" is live. Across 554 measured question and answer pairs, a cumulative answer was correct 3.1% of the time, and you have chosen one wrongly six times. Test the relationship between the options before you decide.

Texas raises the stakes: errors and omissions or equivalent coverage at \$100,000 per occurrence is a statutory condition of holding the license.

The pre-inspection agreement

Who prepares it	An attorney. It is a legal contract limiting your liability, and a template you wrote yourself may not survive being tested.
Limitation of remedies clause	Reduces the client's recovery of damages from the home inspector — most often capping it at the fee paid.
Before discussing findings	Home inspectors should not discuss their findings with clients before obtaining a signature on the pre-inspection agreement and allowing the clients adequate time to read it.
The disclaimer	Attached to the report, and it protects the home inspector.

What protects you afterwards

YOU HAVE MISSED THIS 3 TIMES

What helps protect the inspector should a dispute with a client arise?

Photos kept on file, whether used in the report or not.

Photographs are dated evidence of the condition on the day. Keeping everything you shot — not only what you published — means that when a client says a defect was already there, or was not, you have the record. Cheap to do, and the only thing that settles an argument about a house that has since been altered.

The report must include

A report stating which systems and components were not inspected and why. What you did not do is part of the deliverable.

Design defects

Only licensed professional engineers can comment on them. If a homeowner complains you did not, that is the answer.

Say it back

Cover the page. Answer each one out loud.

1. Which insurances should an inspector carry, and what does each one cover?
2. What is the general test this question is really about?
3. What is the Texas E&O figure?
4. Who prepares the pre-inspection agreement, and what does a limitation of remedies clause do?
5. When may you first discuss findings with a client?
6. Who does the disclaimer protect?
7. What protects you in a dispute, and which photos do you keep?
8. What must the report say about things you did not inspect?